# 2024 GTM Benchmarks

Public and private company sales & marketing benchmarks. What's good? Wha

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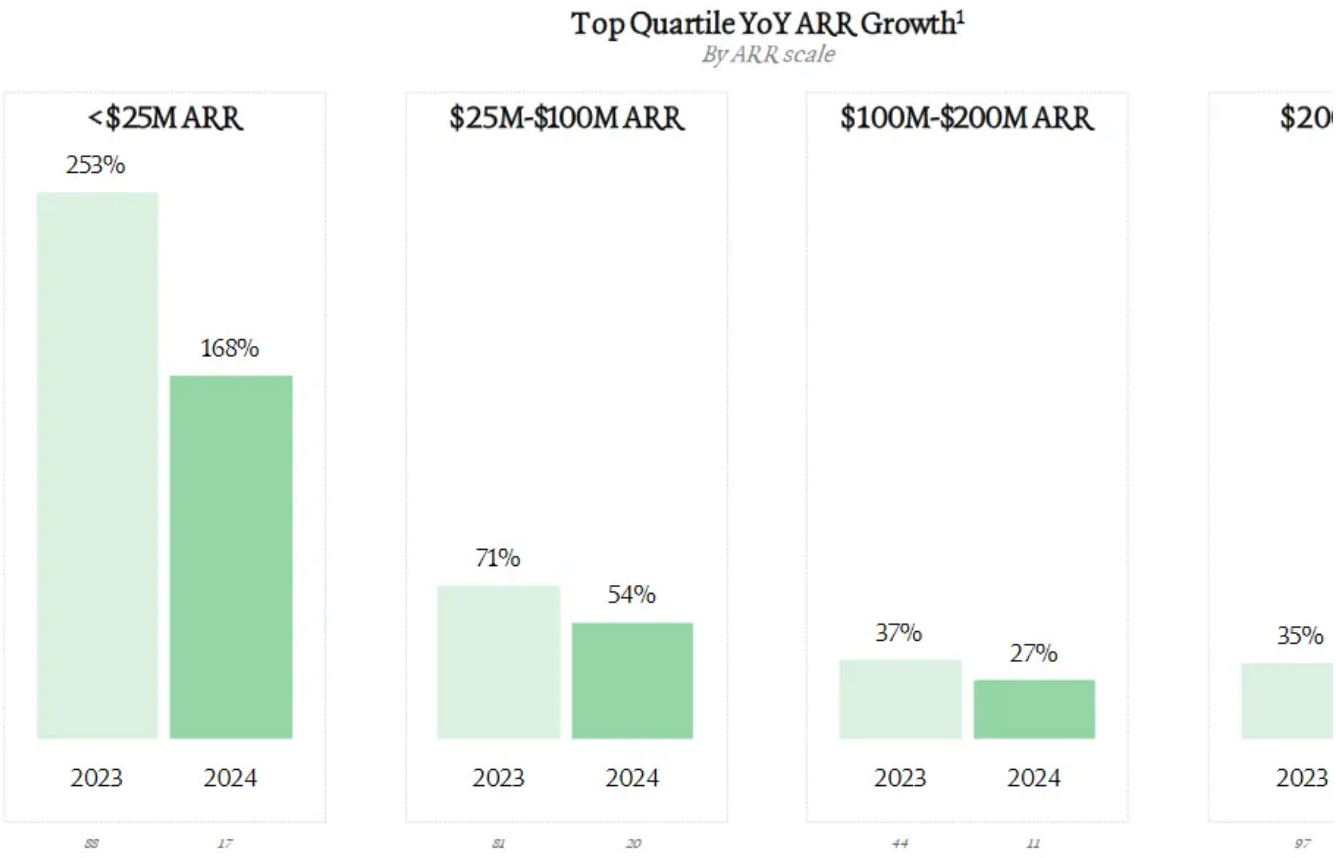
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# Software Benchmarks

## ARR Growth Challenges Continue

Revenue growth continues to decelerate across company sizes in 2024. continue to tighten in a tough environment for software companies. Bu companies are at least making room for AI investments...

Below is benchmark data from ICONIQ's most recent report:




source: ICONIQ

Another interesting way to look at the above data is the endurance of t

growth by ARR buckets from one year to the next (e.g. 2024 growth / 20 growth). It's clear that the most impacted by slowing revenue growth a and the least impact are the large at-scale companies.

| | ARR Growth by ARR Size | | |
|---|---|---|---|
| | <$25M | $25 - 100M | $100 - 200M |
| 2023 ARR growth | 253% | 71% | 37% |
| 2024 ARR growth | 168% | 54% | 27% |
| Endurance | 66% | 76% | 73% |

For companies <$25M in ARR, 2024 growth is only 66% of what it was i Growth for this bucket dropped 85 percentage points over one year!!🤯 HUGE...

On the other hand, more mature at-scale companies only saw ARR gro slightly — 35% growth in 2023 vs 30% in 2024 (86% endurance).

> **What does the differences in declining revenue growth tell us?**

Two possible explanations that I see continuing to play out:

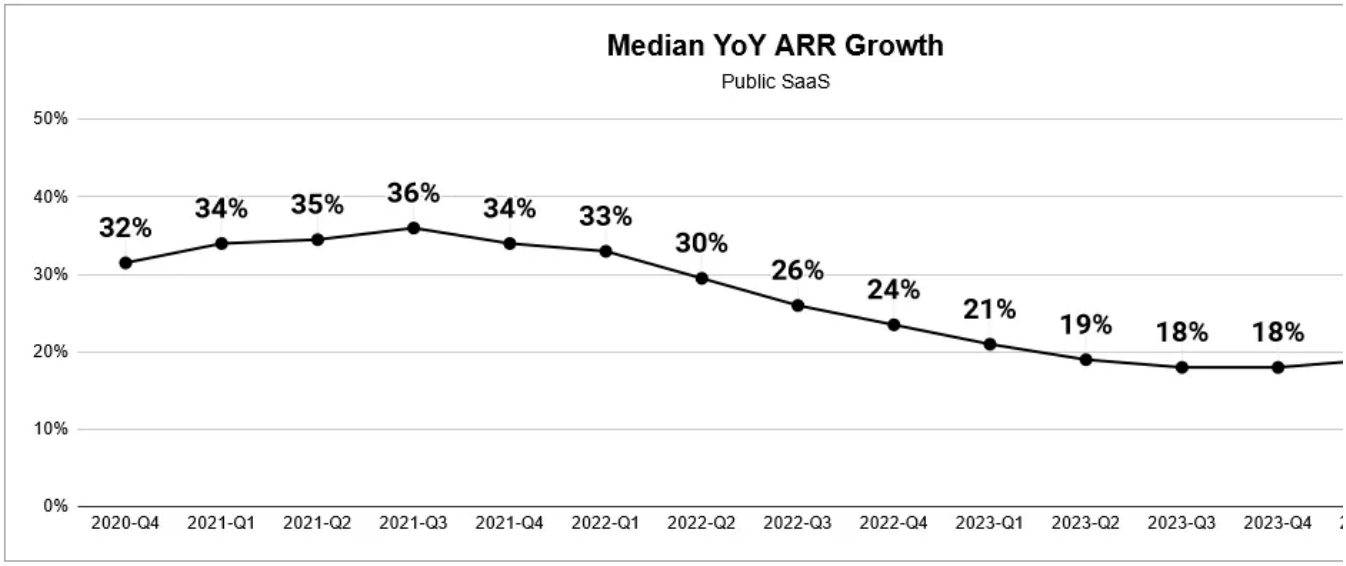
1. **Fear of buying from startups.** "Nobody got fired by buying from [na well-regarded company]". Buying from startups for any critical and visible tool feels A LOT riskier today because of the startup compar this environment and buyers are a lot less willing to bet their caree unproven tool today.
2. **Vendor consolidation push.** We are all trying to be more efficient s us are consolidating tools and focusing on larger vendors that can several needs versus lots of different point solutions.

Early stage companies need to continue to further de-risk the purchase because it's been getting harder to compete against bigger companies a

two things continue to play out.

**Public Company ARR Growth:**

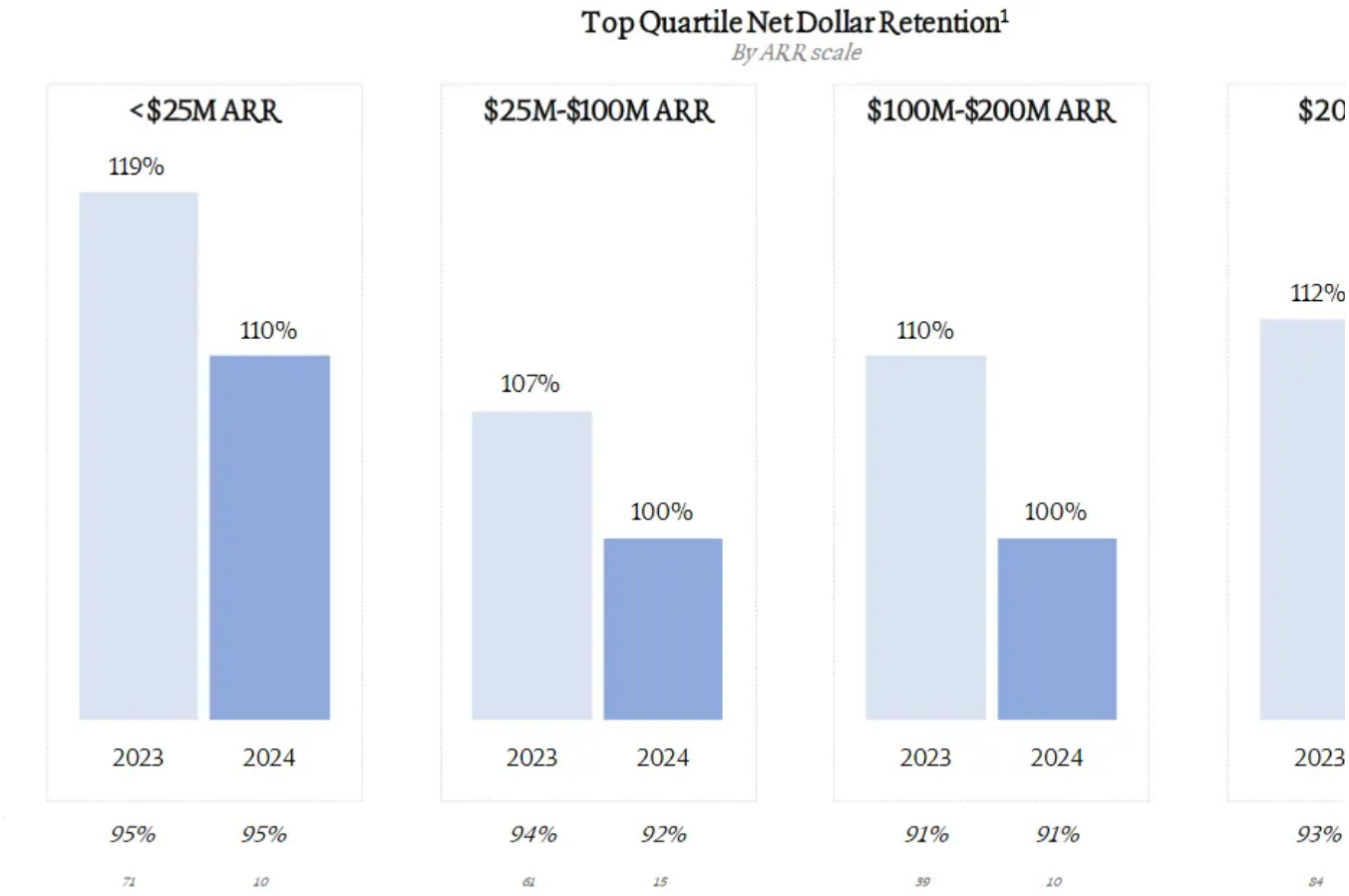
The below public company benchmark data tells a similar story for ma companies. On the bright side it looks like ARR growth actually started in Q2.




BenchSights

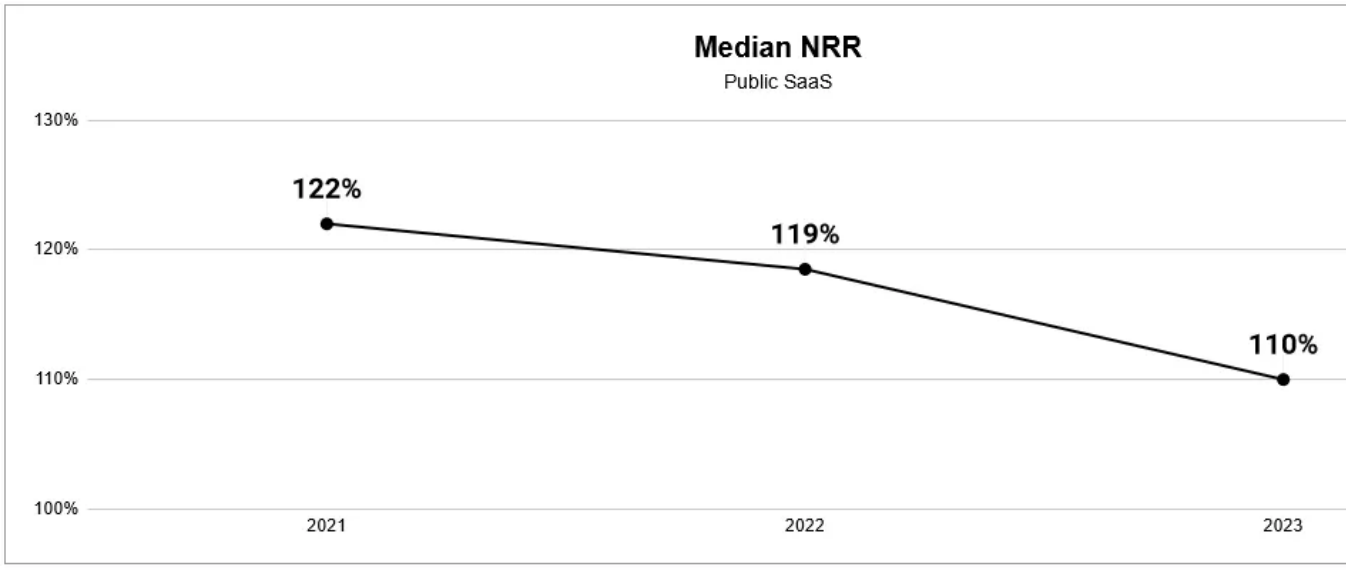
## NRR is Falling

NRR (net revenue retention, aka NDR) has been falling since 2021 for m companies. This NRR story lines up with the overall ARR growth decli discussed above. It's hard to grow fast when the easy expansion opport are declining and churn is increasing.




source: ICONIQ

**Public company benchmarks**: public companies follow a similar patter bigger they are, the harder they fall — Snowflake's NRR dropped 47 per points since 2021! That is 47% of easier ARR growth that just vanished.




BenchSights

**NRR Trends Since 2021**

*(Ordered 2023 NRR)*

| Company | NRR 2021 | NRR 2022 | NRR 2023 | Net Change |
|---|---|---|---|---|
| Snowflake | 178% | 158% | 131% | -47% |
| GitLab | 152% | 130% | 130% | -22% |
| Confluent | 130% | 130% | 125% | -5% |
| Datadog | 130% | 130% | 120% | -10% |
| MongoDB | NA | 120% | 120% | NA |
| Olo | 120% | 106% | 120% | 0% |
| JFrog | 130% | 128% | 119% | -11% |
| UiPath | 145% | 145% | 119% | -26% |
| CrowdStrike | 124% | 120% | 119% | -5% |
| Sprinklr | 119% | 123% | 118% | -1% |
| nCino | 133% | 125% | 117% | -16% |
| Braze | 128% | 124% | 117% | -11% |
| Zscaler | 125% | 125% | 117% | -8% |
| Fastly | NA | 120% | 116% | NA |
| Smartsheet | 134% | 125% | 116% | -18% |
| HashiCorp | 131% | 131% | 115% | -16% |
| Okta | 124% | 122% | 115% | -9% |
| Couchbase | 115% | 115% | 115% | 0% |
| Cloudflare | 125% | 122% | 115% | -10% |
| SentinelOne | 129% | 130% | 115% | -14% |
| Procore | 109% | 117% | 114% | 5% |
| Tenable | 117% | 117% | 111% | -6% |
| Bill | 124% | 116% | 111% | -13% |
| Five9 | 122% | 115% | 110% | -12% |
| monday | 120% | 120% | 110% | -10% |
| Elastic | 130% | 120% | 109% | -21% |
| Q2 | 119% | 110% | 108% | -11% |
| Jamf | 120% | 117% | 108% | -12% |
| Clearwater Analytics | NA | 104% | 108% | NA |

BenchSights

# LTV/CAC Thoughts

I am generally not a fan of private company LTV/CAC benchmarks for a reasons:

- For companies with <$25M in ARR the calculation is usually misle
    - Not a fully built out GTM motion so CAC isn't realistic for when actually at scale. Startups bragging about their LTV/CAC of 15+ silly...

    - The LTV calculation is wrong because there isn't enough churn can get this to be somewhat accurate but that is a post for anot
- Private company benchmark data will have a lot of different meth (accounting treatment, customer life, etc) which can significantly LTV and CAC numbers
- There are way too many variables in LTV/CAC to make it a useful metric.

Understanding the LTV/CAC ratio is important because it is ultimately drives cloud valuations, but don't over analyze it. In many ways the LT ratio is like a discounted cash flow (DCF) model - in theory it is perfect, practice it is always very wrong.

source: ICONIQ

## Contract Term Length is Increasing

I actually found the below a bit surprising - contract terms are increasi
companies I speak with are trying to limit multi-year contracts on the
side (most of us like it on the customer side though because it limits ch

Having said that, with more companies buying more from larger comp
mentioned above, this trend actually makes sense. Companies are muc
likely to sign multi-year deals with large companies.

source: ICONIQ

**My contract term length policy**: any new vendor must be one year max
very rare exception) and then we can consider multi-year if certain cri
met:

- Discount for multi-year is worth it
- Software is critical
- Internal champion signs in blood that they need it and won't switc
- Confidence in vendor and roadmap/innovation

# CAC Ratio

The CAC (customer acquisition cost) ratio has skyrocketed since 2021. chart from BenchSights shows the CAC ratio for public cloud companie

> **CAC Ratio** = S&M spend / Net New ARR

BenchSights

In Q1 2021 it cost public cloud companies $1.61 to acquire $1.00 in ARR, it costs them $2.26 for $1.00 in ARR. That is a 40% increase!

# Sales Attainment

A big reason for this massive CAC increase is the drop in sales rep attai When sales reps are beating quota everyone is happy because not only reps making piles of money, but each incremental dollar in sales is mu efficient.

Large company quota attainment has continued to decline while small company sales quota attainment has started to recover.

RepVue

# Benchmarking Caveats

When comparing benchmarks, it's important to consider the populatio firmographics of the benchmark data before trying to compare. Benchr is usually separated by:

1. Public company
2. Private company

## Public Company:

When comparing public companies data then of course you can just us publicly available data sets of the most relevant companies. It is impor consider revenue scale and other company specific factors when maki comparisons.

## Private Company:

Private company benchmark data is not as straight forward though be the following:

- **They don't have individual company data** so you don't really know are comparing against. For example, some benchmark reports just quartile metrics. Companies are often not top quartile in every met you compare to all the top quartile benchmarks your expectations unrealistic
- High **diversity in accounting and metric definitions** amongst priva companies. The earlier stage companies may define and do things different so the data is less reliable.
- Very **different firmographics** of companies in data set. Understand performed the benchmark report and the firmographics of those co is critical.

When benchmarking with private company data you need to make sur really relevant to your company before using it as a comp.

For example, I referenced a recent GTM report from ICONIQ above. ICO produces some of my favorite private company software reports. But it important to remember that ICONIQ's investment portfolio is comprise high growth VC-backed companies (they get some of the very best com the world). It is probably not very relevant to a bootstrapped company profitable company that has a goal to be acquired.

**Benchmarks Lag:**

Like all benchmarking reports, the data is lagging because it is reporti historicals. In a quickly changing environment, companies should und the benchmarks but also consider how things are changing and adapt you want to be (not where other companies have been).

In today's faced pace and quickly changing environment with generati companies need to skate to where the puck is going, not where it was... they will be left behind. Benchmarks are informative though on trends

realize things can change quickly and they may not indicate where yo be.

# Concluding Thoughts

My constant reminder on benchmarks: **Make sure you understand wh comparing.** I see way too many people blindly compare to some irrelev benchmark.

For private companies, ask your investors for benchmarks most releva company. They have lots of data and can share anonymized portfolio c data and/or provide insight on where they think you should be.

Understand the benchmarks, but skate to where the puck is going and it has been.

## Footnotes:

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Mr.incognito Aug 22, 2024

Liked by OnlyCFO

From the vantage point of a ~25M ARR bootstrapped SaaS company; we've also see like you've outlined here, largely from a significant drop in expansion compared to p job collecting all this data and packaging it into a quick, easy to understand post so know we're not alone.

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Brian Weisberg Aug 31, 2024

Liked by OnlyCFO

Solid pulse check on KPI trends.

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